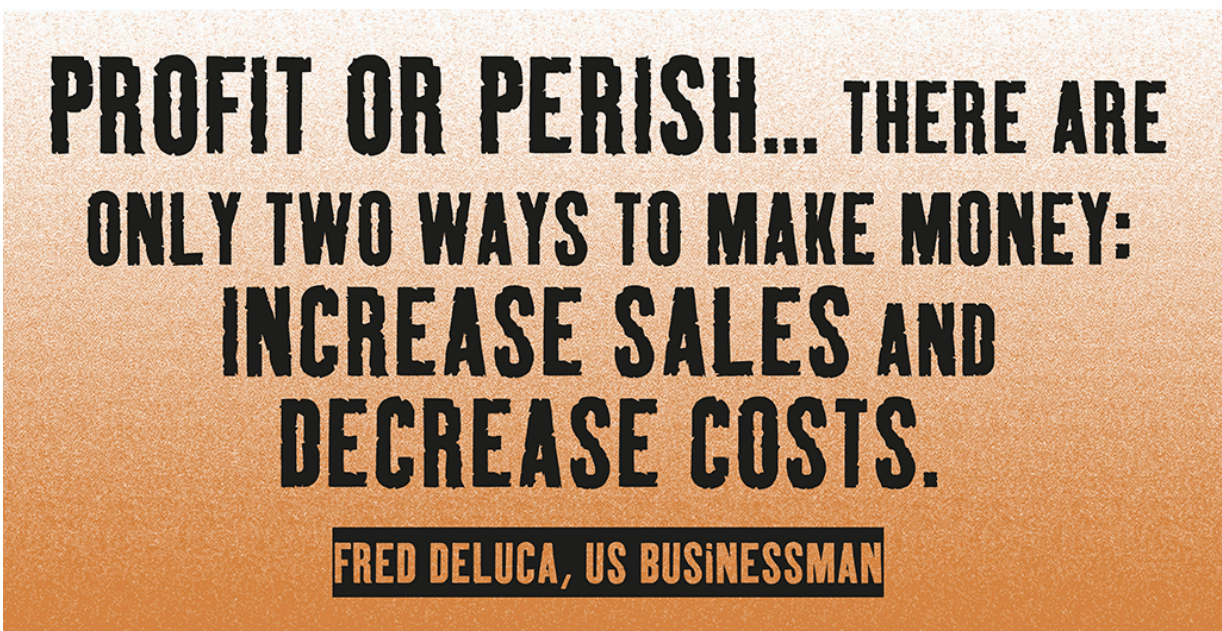


Balancing the books

Businesses of all sorts, from individual traders, or small private companies to huge international corporations, make money for their owners or shareholders by selling their products. They may produce commodities, manufactured goods, or services, but all aim to be profitable. This means they are run so that there is more money coming into the business than is being spent. It is the task of the management, either the owners of a small firm or the managers in a large company, to balance the costs of production with the revenue—the money that comes from sales of the product. When income is greater than expenditure, the business makes a profit, but when expenditure is greater than income it makes a loss.



Money out and money in

Whoever is running a business has to consider the costs of production—the money that needs to be spent to make their product. If it is a manufacturing industry, for example, this will include the cost of raw materials that the product is made from—the paper and ink of a book, for example—the buildings and machinery needed to make it, and the wages of the workers. There may also be other costs, such as delivery of the goods to the customer,